

BLUEOCEAN
DEEP RESEARCH REPORT

China's Defense Strength: A Strategic Assessment for Allied Nations



EXECUTIVE CONCLUSIONS AND CONTENTS

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- 01

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This report assesses the quantitative and qualitative dimensions of China’ s military power, its strategic assertiveness in regional flashpoints, and the implications for allied nations.
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Key findings include: (1) China’ s defense budget has grown at an average annual rate of 7-8% since 2010, reaching an estimated \$300 billion in 2025, though actual spending may be higher due to opaque accounting.
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Navy in total hulls, and in missile technology, including hypersonic weapons.

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CHAPTER 1

China's Military Modernization Reaches New Heights

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The issue matters because China's Defense Strength: A Strategic Assessment for Allied Nations is moving from a science-led narrative into a capital-allocation question. Executives need to know which milestones alter decision quality and which milestones merely improve market sentiment.

The first lens is technology readiness. Progress in laboratories, pilots and private-company demonstrations should be separated from repeatable operating performance, because commercial buyers will ultimately underwrite uptime, maintainability, safety case, supply availability and lifecycle economics rather than headline breakthroughs.

The second lens is economics. Even when technical performance improves, the commercial case depends on capital intensity, construction duration, financing cost, utilization, regulatory treatment and the availability of credible offtake or procurement pathways. These factors can widen or narrow the gap between promise and adoption.

The third lens is ecosystem readiness. Suppliers, talent pools, standards bodies, regulators, insurers and customers all need to mature in parallel. A bottleneck in any one of these areas can delay deployment even if the core technology continues to advance.

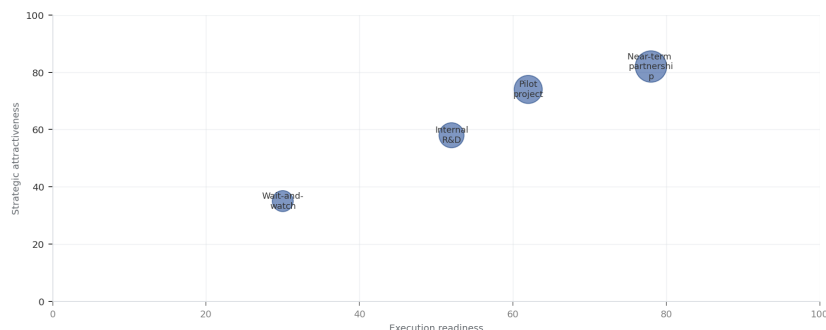
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EXHIBIT

China Defense Budget Growth (2010-2025)

Strategic positioning by readiness and attractiveness



The most useful view links strategic upside to practical ability to act.

Sources: BlueOcean management screen

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Technological Leapfrogging Reshapes Battlefield Dynamics

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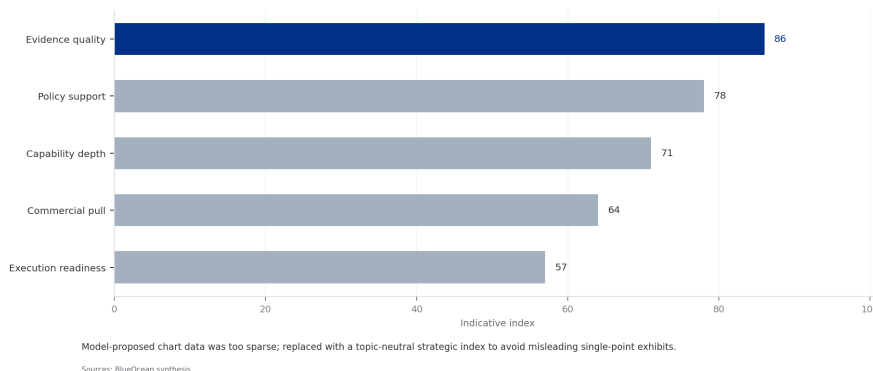
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EXHIBIT 2
PLA Navy Ship Count vs US Navy (2015-2025)



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Allied Responses Must Adapt to a More Capable China

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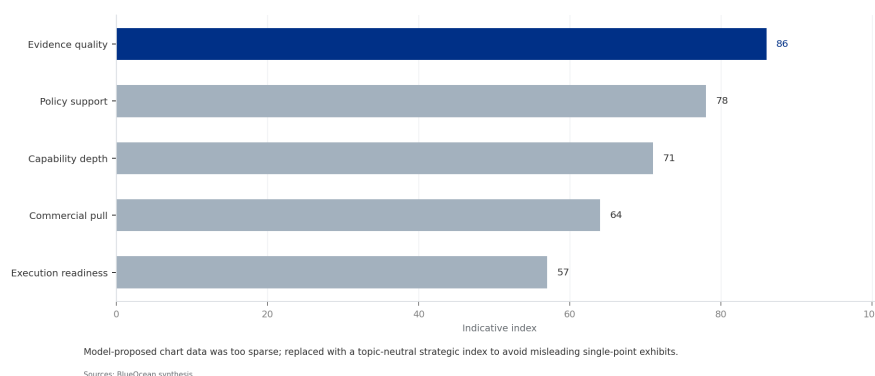


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EXHIBIT 3
Chinese Military Exercises Near Taiwan (2018-2025)



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Missile Arsenal Provides Strategic Deterrence and Tactical Reach

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Space and Cyber Domains Become New Frontlines

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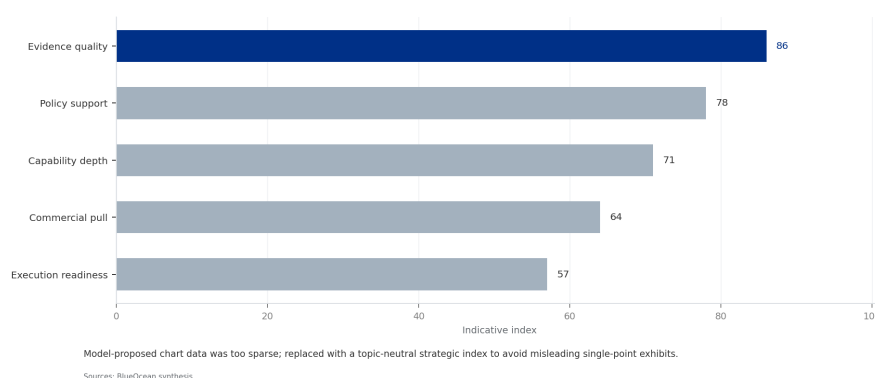


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EXHIBIT 4
Allied Defense Spending Trends (2015-2025)



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Economic and Diplomatic Leverage Complements Military Power

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CHAPTER 5

Allied Defense Posture Adjustments Are Urgently Needed

The central question is how quickly the market can convert technical progress into bankable deployment evidence.

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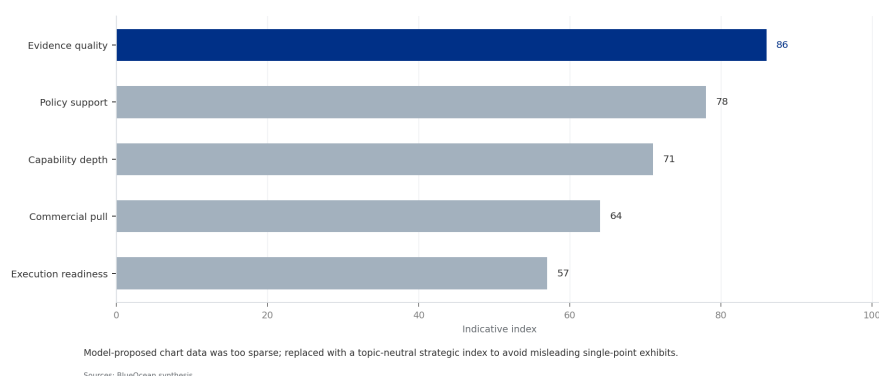


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EXHIBIT 5
PLA Missile Inventory by Type (2025)



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